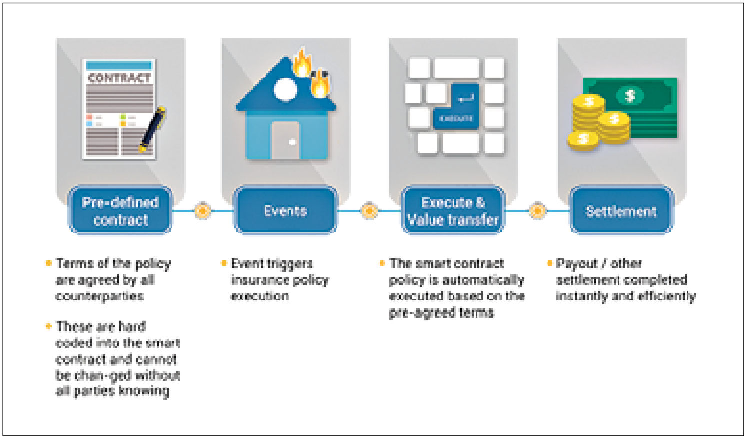
In December 2013, a man named Vitalik Buterin released a white paper on what would turn into the "Ethereum venture" – a blockchain platform with the ability to build decentralized applications. Ethereum is a blockchain based distributed computing, public, open-source stage highlighting smart contract facility.

Vitalik was a noticeable Bitcoin lover for quite a long while and was a prime supporter of the Bitcoin magazine in 2012. He tried to update the original Bitcoin protocol and failed to gain agreement within the Bitcoin community, post which he gathered a team of super programmers to develop a completely new blockchain protocol featuring 'Smart contracts' that would allow programmers to build scripts into the blockchain which would act as contractual agreement and execute when the mentioned conditions are met. He named this new blockchain 'Ethereum'.

Smart contract is a piece of code which is stored on the blockchain network. Anything of value, like money, property or shares can be exchanged with the help of smart contracts in a conflict-free , transparent way while avoiding the services of a middleman. It defines the conditions to which all parties using the contract would agree, so certain actions are executed if the required conditions are met. A smart contract is saved on each computer on the network and all of them must execute it to get the same result. In this way users can be sure that the outcome is correct.

Smart contracts are gaining popularity in the e-commerce industry. Every minute change and detail is documented within the blockchain. In



How a smart contract works